

Swanzey Operating Plan

Budget · Forecast · Capital — a consolidated operating reference

PRIVATE working document · v0.1 · June 2026

Built on the Town's own annual reports (2011–2025), NH DRA, and local news

Convert to the live operating plan on hire — figures keyed to town-meeting year

0. Purpose

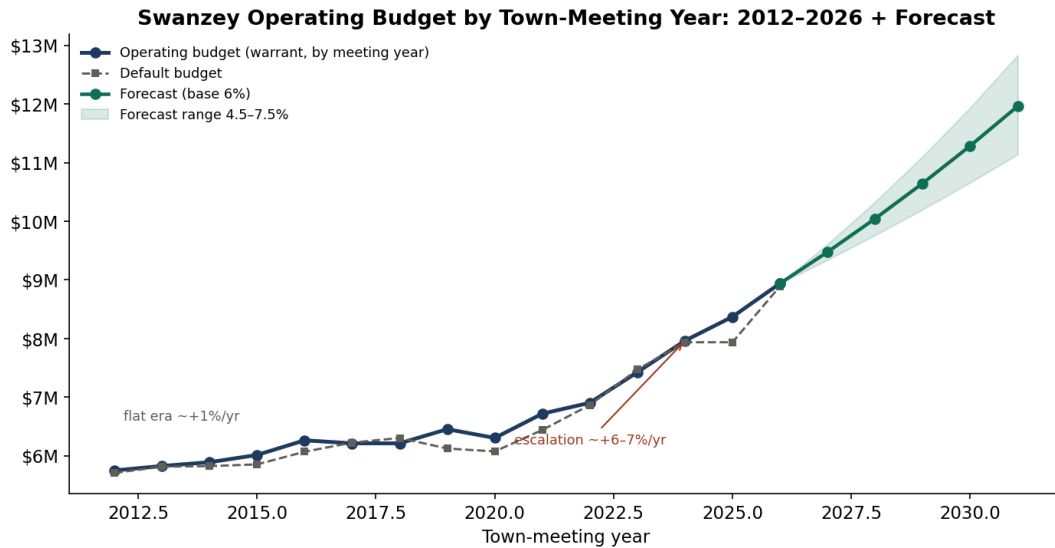
One reference that holds the Town's budget, a forecast, and the capital plan together. It is written to be operational: on hire, the forecast cells become the working model, the reserve ladder becomes warrant articles, and the 12-month plan becomes the calendar. Every figure traces to the Town's own annual reports; capital figures and forecasts are clearly-labeled planning estimates.

Operating thesis: the Town will SAVE but won't BORROW. Fund the backlog with majority-vote reserves + state aid + the water revolving fund — not bonds — and the projects that keep stalling get built without a tax spike or a 3/5 vote.

PART I — BUDGET

1. The 15-year record

Operating budgets have risen ~55% since 2012 to roughly \$8.94M (2026), with a flat early-2010s (~+1%/yr) giving way to a +6–7%/yr climb since 2020.

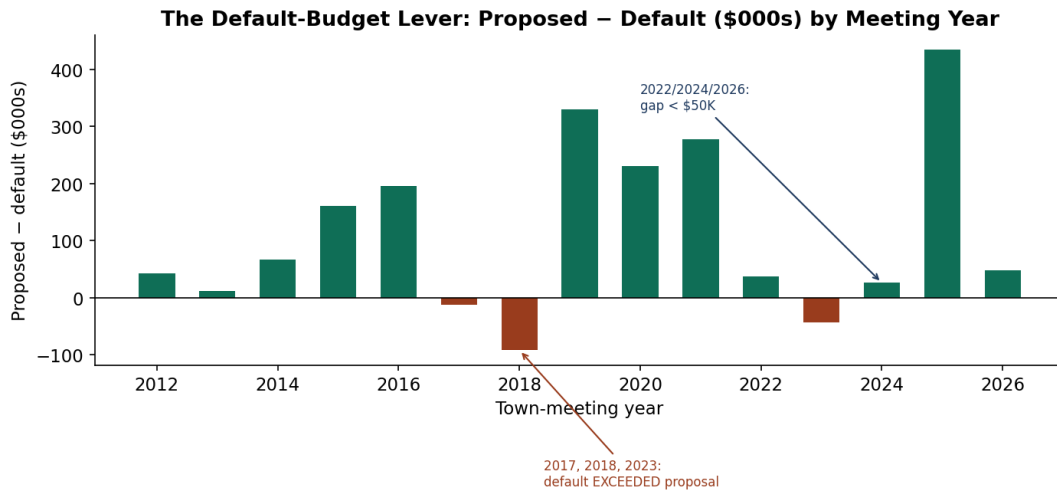


Operating budget by town-meeting year, 2012–2026, with the forecast band (Part II).

Meeting year	Operating (proposed)	Default	Budget % YES
2012	\$5,747,885	\$5,705,757	80%
2016	\$6,262,426	\$6,067,144	68%
2020	\$6,303,000	\$6,072,735	—
2023	\$7,425,000	\$7,468,834	62%
2025	\$8,370,000	\$7,935,699	57%
2026	\$8,939,036	\$8,891,785	passed

2. How the budget works (and why the 'no' lever is gone)

- **Governing law — RSA 32.** Appropriation by purpose; no over-expenditure (32:8); transfers within the total (32:10); lapse at year-end (32:7); emergency over-spend needs DRA approval (32:11).
- **Forms.** MS-636 (proposed) or MS-737 (budget-committee towns, filed within 20 days of the meeting); MS-232 'Appropriations as Voted' filed within 20 days.
- **SB2 default budget — RSA 40:13, IX.** If the operating article fails, the default budget takes effect. In Swansey the default now sits within ~\$47K of the proposal — and exceeded it in 2017, 2018, and 2023. 'Vote no to save' no longer works.



A 'no' vote installs the default. Repeatedly near-zero or negative — the savings lever is weak. Source: Annual Reports.

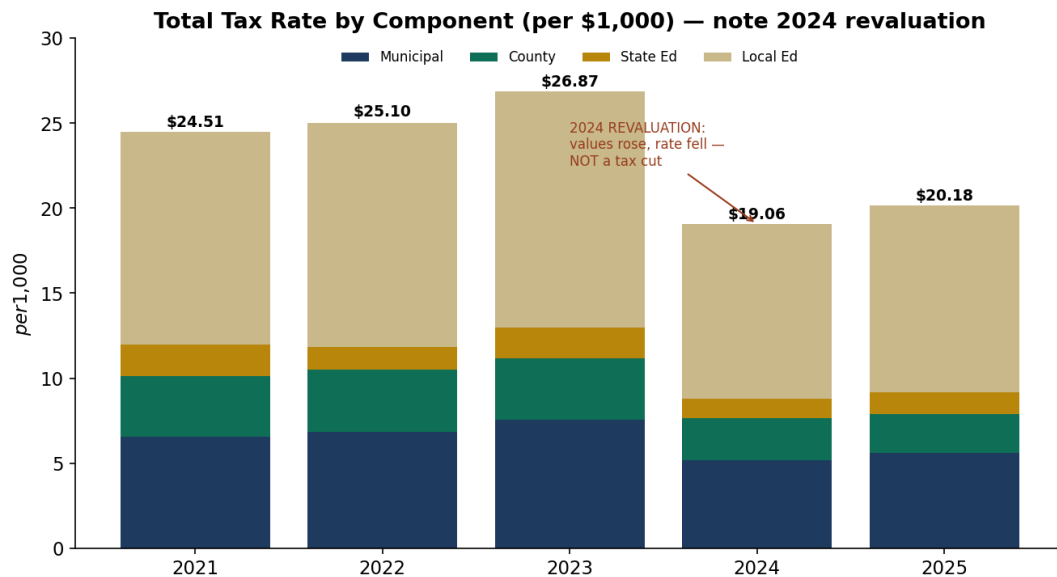
Proposed minus default budget by meeting year — repeatedly near zero or negative.

3. Cost drivers

The climb is structural, not programmatic: health insurance, wages, the NH Retirement System (RSA 100-A) employer rate, and the ambulance/EMS contract. These are largely non-discretionary, so honesty about them — and relentless capture of outside money — is the only durable lever on the municipal share.

4. Tax rate & the 2024 revaluation

Total rate moved \$24.51 (2021) → \$26.87 (2023) → \$19.06 (2024) → \$20.18 (2025). The 2024 drop was a revaluation (assessed values rose), not a tax cut. Education is ~60% of the bill; the municipal share the Board controls is ~a quarter.



Education = ~60% of the bill. Source: NH DRA / Town of Swanze (2021-2025).

Total tax rate by component, 2021–2025. The 2024 step-down is the revaluation.

PART II — FORECAST

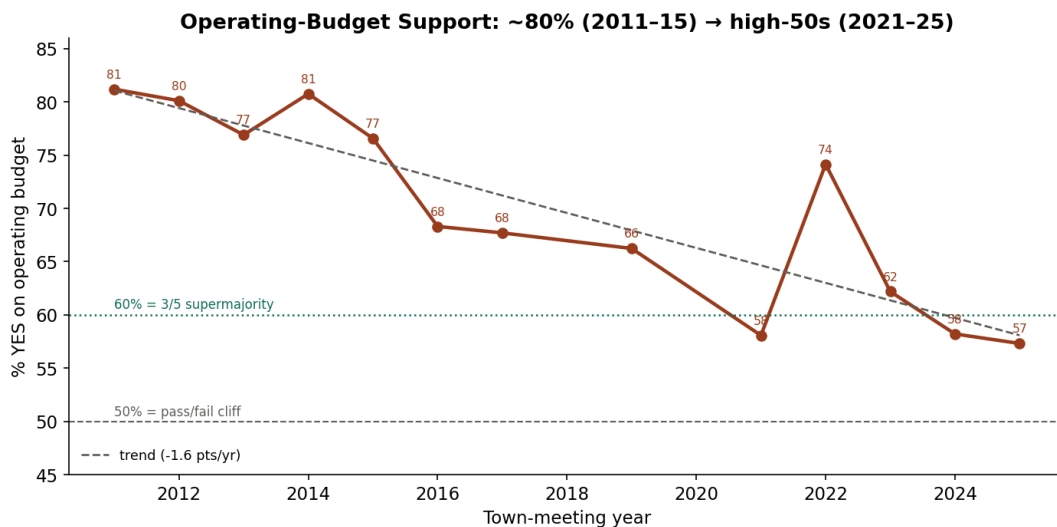
Modeled. Compounds the 2026 adopted budget (\$8,939,036) at the observed recent band (low 4.5% / base 6.0% / high 7.5%; recent CAGR $\approx$ 6.7%). Scenarios, not predictions.

Fiscal year	Low (4.5%)	Base (6.0%)	High (7.5%)
2026 (actual)	\$8.94M	\$8.94M	\$8.94M
2027	\$9.34M	\$9.48M	\$9.61M
2028	\$9.76M	\$10.04M	\$10.33M
2029	\$10.20M	\$10.65M	\$11.10M
2030	\$10.66M	\$11.29M	\$11.94M
2031	\$11.14M	\$11.96M	\$12.83M

Base case crosses \$10M around 2028 and approaches \$12M by 2031 — with no new services, purely on the cost escalators.

Budget-approval risk

Operating-budget support has slid from ~80% (2011–15) to 57% (2025). On trend a budget failure becomes plausible within a few cycles — though, because the default $\approx$ the proposal, the fiscal consequence is now muted; the real contest moves to special/capital articles.



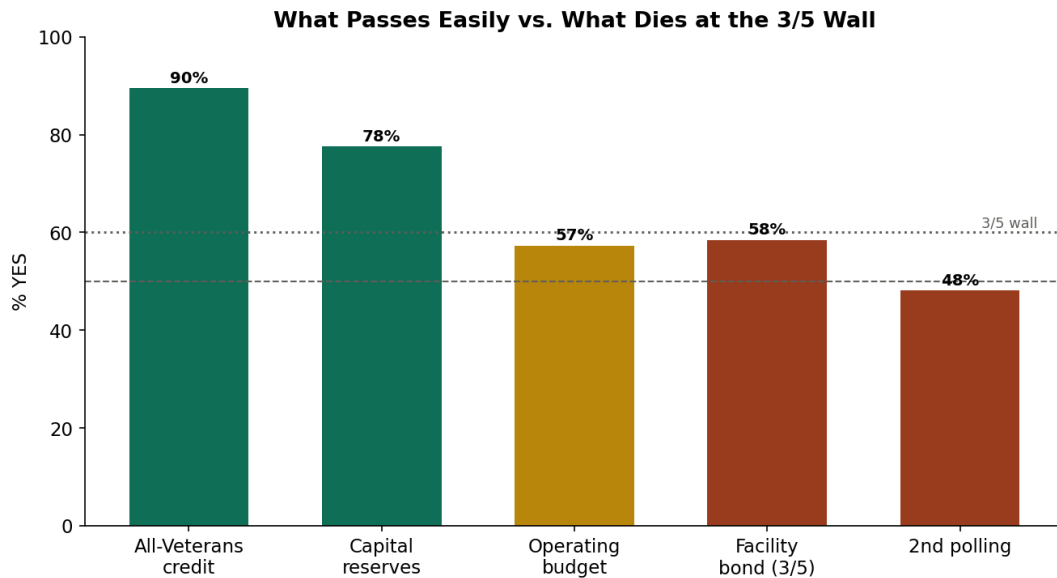
Operating-budget support, 2011–2025, with trend.

Fund-balance guidance. Hold unassigned fund balance in DRA's prudent band ($\approx$ 5–17% of the operating budget). Treat any amount 'applied to reduce taxes' as multi-year smoothing, not a one-year cut — over-applying lowers next year's base and spikes the rate.

PART III — CAPITAL PLAN

5. The backlog and the 3/5 problem

About \$5.3M of identified needs: the public-works facility, the Christian Hill Road bridge, Lower Winchester Street, the West Swanzezy water system, and Town Hall accessibility. The facility won majorities in 2024 and 2026 but failed the 3/5 a bond requires. Reserves and credits, by contrast, pass 78–90%.

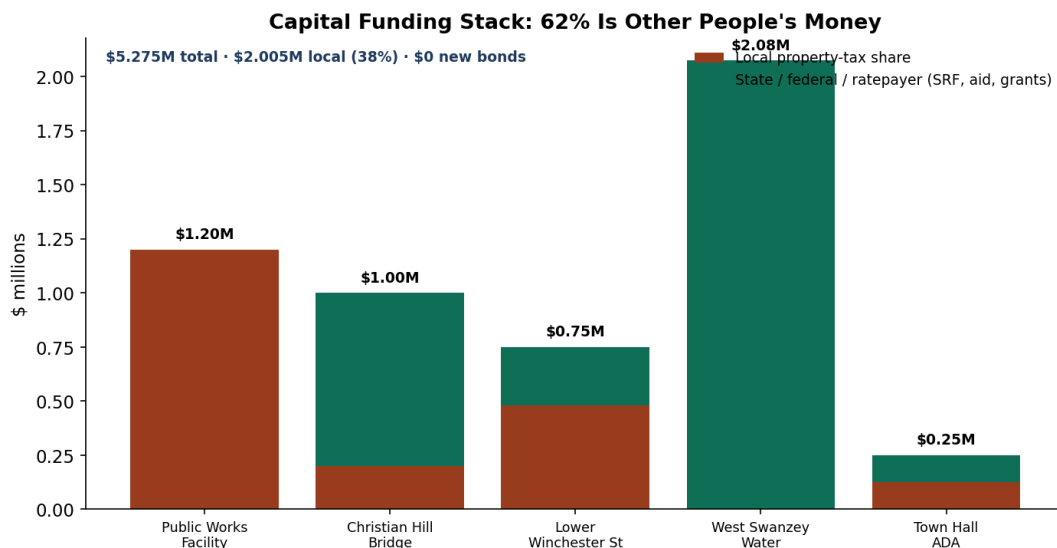


Reserves & credits 78-90%; facility bonds get majorities but never 3/5. Source: Annual Reports / news.

What passes easily versus what dies at the 3/5 wall.

6. The funding strategy — 62% other people's money

Stack outside funding first: 80% state bridge aid (RSA 234) for the bridge; the DWSRF (repaid by water rates, plus principal forgiveness) for water; block grant and CDBG for the street and ADA work. About 62% of the backlog is non-property-tax money, leaving ~\$2.0M local — saved via majority-vote reserves, with \$0 new bonds.



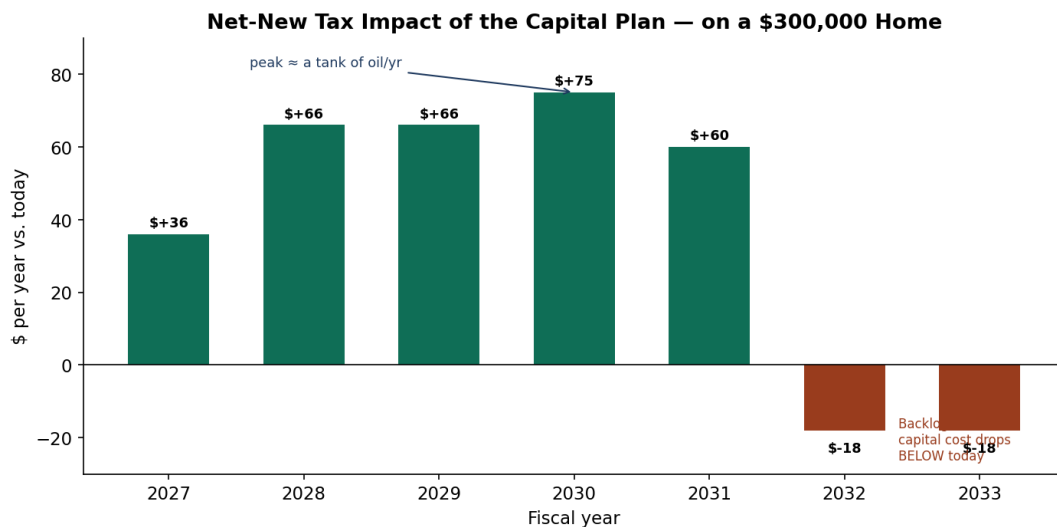
Bridge aid 80% (RSA 234); water via DWSRF/rates; grants for ADA/roads. Modeled estimates.

Funding stack by project: most cost carried by aid, water rates, and grants.

Project	Total	Local share	Primary funding path
Public Works Facility	\$1.20M	\$1.20M	RSA 35 reserve (pay-go ~2031)
Christian Hill Rd Bridge	\$1.00M	\$0.20M	RSA 234 aid 80% + bridge reserve
Lower Winchester St	\$0.75M	\$0.48M	Highway block grant + roads reserve
West Swanzey Water	\$2.075M	~\$0 (tax)	DWSRF, repaid by water rates + grants
Town Hall ADA	\$0.25M	\$0.125M	CDBG + facilities reserve
TOTAL	\$5.275M	\$2.005M (38%)	\$0 new bonds

7. The reserve ladder & the tax glide

Capital Reserve Fund	Annual deposit	Funds	Vote
Public Works Facility	\$150–300K	the facility	majority
Bridges	\$50K	Christian Hill 20%	majority
Highway Reconstruction	\$100K	Lower Winchester St	majority
Highway Equipment	\$90K	fleet cycle	majority
Fire Apparatus	\$70K	engine/tanker cycle	majority
Town Facilities (ADA)	\$40K	Town Hall, buildings	majority
Technology & Records	\$20K	GIS, cyber, retention	majority



Majority-vote reserves + state aid; no 3/5 bonds. Modeled; confirm with town valuation & DRA.

Net-new tax impact on a \$300,000 home: peaks ≈ +\$75, then below today once built.

8. Decision rules

If the project is...	Use...	Because
≤ ~\$250K, recurring	a capital reserve (pay-go)	simple majority, no interest
a town bridge (≥10 ft)	RSA 234 aid + reserve for 20%	state pays 80%
water/sewer	DWSRF, repaid by rates	off the property tax
large, urgent, unavoidable	Bond Bank (RSA 33) — last resort	only when reserves can't get there in time
anything	listed in the published CIP first	surprise becomes expectation

DRA-compliant model warrant articles for the reserve ladder and the bridge-aid / DWSRF / CDBG authorizations are ready in the companion capital-forecast folder.

PART IV — OPERATING PLAYBOOK

9. The first twelve months

Quarter	Moves
Q1	Stabilize the administrator's office (multi-year agreement + written evaluation). Publish a draft six-year CIP. Issue the one-page tax-bill explainer.
Q2	Warrant & pass the capital reserve ladder (majority votes). File State Bridge Aid for Christian Hill Rd. Commission the water rate study.
Q3	Advance DWSRF water financing. Deliver one visible 'small win' (ADA via CDBG + reserve). Adopt operating norms for the five-member board.
Q4	Bring the full CIP + reserve plan to the deliberative session with an information night. Report the year's progress publicly.

10. The annual municipal cycle

When	What
By Sept 1	File MS-1 (valuation), MS-434 (revenues), MS-535 (financial report)
Oct–Dec	Build budget & default budget; CIP update; budget public hearing; post warrant (RSA 31:95)
~1st Tue Feb	SB2 deliberative session (debate & amend)
~2nd Tue Mar	SB2 ballot: budget, articles, officer elections
Meeting +20 days	File MS-232 'Appropriations as Voted'
Fall	DRA sets the tax rate; issue tax bills

11. Dashboard — the numbers to watch

Metric	Watch
Operating budget / YoY	~\$8.94M; keep YoY honest about drivers
Budget % YES	57% (2025) — arrest the slide with transparency
Unassigned fund balance	keep within ~5–17% of operating budget
Reserve balances	grow toward project targets (ladder above)
Next statutory deadline	always know it (MS-1 / MS-232 / hearing / warrant)
Tax rate & valuation	total \$20.18 (2025); refresh real MS-1 valuation

Appendix — Provenance & key RSA

Real figures from the Town of Swansey's annual reports (2011–2025), NH DRA, and local news; capital figures and forecasts are clearly-labeled planning estimates, keyed to town-meeting year (verified against as-voted results for 2020/2023/2025). Key statutes: RSA 32 (budget), 40:13 (SB2/default), 35 (reserves), 33/35-A (bonding/Bond Bank), 234 (bridge aid), 38 (utilities), 162-K (TIF), 674:5-8 (CIP), 91-A (right-to-know), 33-A (records), 165 (welfare), 273-A (labor), 100-A (NHRS). Companion files: Financial Review, Capital Workbook (live model), Strategic Review, and the Interview Workbook.